NCERT Summary: Topic 13: Understanding Economic Development — Raw Notes

Source Reference

- NCERT Class 10 Economics, Chapter 1: *Development*

Core Factual & Conceptual Extract

1. Divergent & Conflicting Development Goals

- Development is subjective: depends on socio-economic reality and aspirations.
- Examples of conflicting goals:
  - Landless agricultural labourer: More days of work, higher daily wages, quality local primary schooling.
  - Prosperous farmer (e.g., Punjab): Higher minimum support prices (MSP), cheap agricultural labour, low input costs.
  - Urban industrialist: Mega dams for cheap hydroelectricity.
  - Displaced tribal community (Adivasis, Narmada Valley): Retention of riverine ecology, forest rights, displacement avoidance.
- Principle: What represents development for one group may mean ecological and livelihood destruction for another.

2. Beyond Income: Non-Material Dimensions

- Income is necessary but insufficient.
- Non-material pillars: Equal treatment, civil liberty/freedom, physical security, human dignity/respect.
- Development represents a bundle/mix of qualitative and quantitative goals.

3. Comparing Regional Development: Pitfalls of Per Capita Income (PCI)

- Formula: $\text{Per Capita Income} = \frac{\text{Total National Income}}{\text{Total Population}}$.
- Criterion used by the World Bank (World Development Report): Classifies economies purely based on GNI per capita thresholds (High-income / Developed vs. Low-income / Developing).
- Core Flaw: The Mean/Average obscures dispersion and structural inequality. Two nations with identical average PCI can have vastly disparate realities (one egalitarian vs. one where 1% holds 90% wealth).

4. Empirical Interstate Comparison: Punjab vs. Kerala vs. Bihar (NCERT Benchmark Data)

- **Punjab**: High PCI (₹26,000), but IMR = 49/1,000, Literacy = 70%, Net Attendance = 81%.
- **Kerala**: Lower PCI (₹22,800), but IMR = 11/1,000, Literacy = 91%, Net Attendance = 91%.
- **Bihar**: Low PCI (₹5,700), IMR = 60/1,000, Literacy = 47%, Net Attendance = 41%.
- Deduction: Money cannot purchase collective goods (pathogen-free environments, basic healthcare, universal primary schooling, targeted PDS efficiency). Public provision is structurally cheaper and more inclusive than private purchase.

5. United Nations Development Programme (UNDP) — Human Development Index (HDI)

- Published in the annual Human Development Report (HDR).
- Multi-dimensional composite indicator:
  1. Standard of living (Gross National Income / PCI in Purchasing Power Parity terms).
  2. Health (Life Expectancy at Birth).
  3. Education (Mean years of schooling & Expected years of schooling).

- South Asian Comparison (NCERT HDR Data):
  - Sri Lanka outperforms India significantly across all three dimensions despite a smaller total economic size.
  - Nepal, with nearly half the PCI of India, posts comparable life expectancy and literacy.
- Conclusion: Human capital formation does not automatically follow GDP/income expansion; deliberate state welfare spending is required.

6. Environmental Sustainability: Renewable vs. Non-Renewable Boundaries

- Renewable Overuse: Groundwater extraction in India exceeding natural recharge rates.
  - Over 300 districts recorded >4m water table drop over 2 decades.
  - ~33% of India overexploits reserves; 60% projected at risk within 25 years (critical in Punjab, Western UP, hard-rock peninsular aquifers).
- Non-renewable Exhaustion: Finite reserves of fossil hydrocarbons (crude oil). True intergenerational development requires ecological accounting.

✍ Notes & Updates